

Question 1

Question ID: 1575105

Among the types of assets that trade in organized markets, asset-backed securities are *best* characterized as:

A) real assets.



B) equity securities.



C) pooled investment vehicles.



Explanation

Asset-backed securities represent claims to a portion of a financial asset pool. (Module 41.1, LOS 41.c)

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Question 2

Question ID: 1575106

Financial intermediaries that buy securities from and sell securities to investors are *best* described as:

A) dealers.



B) brokers.



C) investment bankers.



Explanation

Dealers maintain inventories of securities and buy them from and sell them to investors. Brokers do not trade directly with clients but find buyers for and sellers of securities to execute customer orders. Investment banks are primarily involved in assisting with the issuance of new securities. (Module 41.1, LOS 41.d)

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Question 3

Question ID: 1575107

An investor purchased 550 shares of Akley common stock for \$38,500 in a margin account and posted initial margin of 50%. The maintenance margin requirement is 35%. The price of Akley, below which the investor would get a margin call, is *closest* to:

A) \$45.00.



B) \$54.00.



C) \$59.50.



Explanation

The price below which the investor would receive a margin call is:

$$\left(\frac{38,500}{550}\right)\left(\frac{1-0.5}{1-0.35}\right) = \$53.85$$

(Module 41.2, LOS 41.f)

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Question 4

Question ID: 1575108

An index of three non-dividend paying stocks is weighted by their market values. One of the index stocks splits 2-for-1 during the year, but no shares are sold. The total return of this index for the year is:

A) less than the price return of the index.



B) equal to the price return of the index.



C) greater than the price return of the index.



Explanation

Because the stocks in the index do not pay dividends, there is no difference between the price return and the total return of the index. (Module 42.1, LOS 42.b)

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Question 5

Question ID: 1575109

Which of the following market indexes is likely to be rebalanced *most* frequently? An index that is:

A) price weighted.



B) value weighted.



C) equal weighted.



Explanation

An equal-weighted index is not equal weighted after even one day, unless all stocks in the index change by the same percentage. A change in share price preserves the weightings in a value-weighted index and preserves the weightings in a price-weighted index unless the price change results from a stock split or stock dividend. (Module 42.2, LOS 42.f)

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Question 6

Question ID: 1575110

Compared to a passive investment strategy, active management, on average:

A) cannot outperform if markets are weak-form efficient.



B) can outperform if markets are weak-form efficient but not semistrong-form efficient.



C) can outperform if markets are semistrong-form efficient but not strong-form efficient.



Explanation

One of the implications of market efficiency is that if markets are semistrong-form efficient, active portfolio management cannot consistently outperform (achieve positive risk-adjusted returns relative to) a passive strategy. (Module 43.1, LOS 43.e)

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Question 7

Question ID: 1575111

Assuming the value effect persists over time, which of the following strategies would be *most likely* to earn positive abnormal returns? Purchase stocks with:

A) low dividend yields.



B) high market-to-book ratios.



C) low price-to-earnings ratios.



Explanation

The value effect refers to value stocks outperforming growth stocks on a risk-adjusted basis. Value stocks have low price-to-earnings or market-to-book ratios, or high dividend yields. Growth stocks have high price-to-earnings or market-to-book ratios, or low dividend yields. If the value effect persists over time and is not the result of inadequate adjustment for risk, buying value stocks will produce positive abnormal returns. (Module 43.1, LOS 43.f)

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Question 8

Question ID: 1575112

Which of the following statements about preference shares is *most accurate*?

- A) Cumulative preference shares allow investors to receive the standard preferred dividend, plus a share of corporate profits above a prespecified amount. 
- B) Participating preference shares require that any omitted dividend payments must be paid before another dividend can be paid to common shareholders. 
- C) Nonparticipating preference shares permit investors to receive in the event of liquidation only the initial investment plus any accrued dividends. 

Explanation

Nonparticipating preference shares permit investors to receive only the initial investment plus any accrued dividends in the event of liquidation. Cumulative preference shares are preference shares on which dividend payments are accrued, so that any payments omitted by the company must be paid before additional dividends can be paid to common shareholders. Participating preference shares allow investors to receive the standard preferred dividend, plus a share of corporate profits above a prespecified amount. (Module 44.1, LOS 44.a)

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Question 9

Question ID: 1575113

The industry that is classified the more cyclical sector under a commercial industry classification scheme is:

A) personal care products.



B) food.



C) apparel.



Explanation

Food and personal care products are typically included in the "consumer staples" sector of commercial classification systems. Apparel is included in the "consumer discretionary" sector, which is more cyclical than the "consumer staples" sector. (Module 46.1, LOS 46.b)

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Question 10

Question ID: 1575114

Which of the factors that determine the intensity of industry competition is *most likely* to be affected by the presence of significant economies of scale?

A) Threat of entry.



B) Threat of substitutes.



C) Power of suppliers.



Explanation

Economies of scale represent a barrier to entry into an industry. Existing competitors are likely to be operating on a large scale that new entrants would find difficult and expensive to develop, reducing the threat of entry. (Module 46.2, LOS 46.d)

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Question 11

Question ID: 1575115

Rogers Partners values stocks using a dividend discount model and the CAPM. Holding all other factors constant, which of the following is *least likely* to increase the estimated value of a stock?

A) An increase in the next period's expected dividend.



B) A decrease in the stock's systematic risk.



C) A decrease in the expected growth rate of dividends.



Explanation

Other things equal, a decrease in the expected growth rate of dividends (g) will decrease the value of a stock estimated with the dividend discount model. According to the CAPM, a decrease in the stock's systematic risk would decrease the required return on equity, increasing the DDM value of future dividends. Other things equal, an increase in a company's next dividend will increase share value. (Module 48.2, LOS 48.e)

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Question 12

Question ID: 1575116

Brandy Clark, CFA, has forecast that Aceler, Inc., will pay its first dividend two years from now in the amount of \$1.25. For the following year, she forecasts a dividend of \$2.00 and expects dividends to increase at an average rate of 7% for the foreseeable future after that. If the risk-free rate is 4.5%, the expected market risk premium is 7.5%, and Aceler's beta is 0.9, Clark would estimate the current value of Aceler shares as being *closest* to:

A) \$37.



B) \$39.



C) \$47.



Explanation

The required rate of return on Aceler shares is $4.5 + 0.9(7.5) = 11.25\%$. Note that the expected market risk premium $= E(R_{mkt}) - R_f$, so there is no need to subtract the riskfree rate.

The dividend at $t = 3$, \$2.00, is expected to grow at 7% for the foreseeable future, so the DDM value of Aceler shares at $t = 2$ is $2 / (0.1125 - 0.07) = 47.06$.

The $t = 0$ value of the shares is $(47.06 + 1.25) / 1.1125^2 = \39.03 . (Module 48.2, LOS 48.h)

Related Material

